DocuSign Envelope ID: B6D6599B-4296-4F83-B081-83A187902737

UNITED NATIONS DEVELOPMENT PROGRAMME

Empowered lives.
Resilient nations.

PROJECT DOCUMENT

[The Gambia]

Project Title: NAMA Facility: Investing in Grid-connected Solar PV in the Gambia

Project Number: 00110747

Implementing Partner: UNCDF, Ministry of Environment, Climate Change and Natural Resources, National Water and Electricity Company, Ministry of Petroleum and Energy

Start Date: September 2020 **End Date:** September 2025

PAC Meeting date:

Brief Description

The electricity sector in the Gambia is characterized by heavy dependency on fuel imports to generate electricity because almost all electricity in the country is produced by fossil fuel oil-based generation technology (LFO (light fuel oil)/HFO (heavy fuel oil) power plants). The national electricity supplier, National Water and Electricity Company, is in a constrained financial position and is having difficulties to generate sufficient financial revenues to maintain and upgrade the systems and infrastructure. As a result, the implementation of the NSP would address SDGs 3,7,8,9,13 and 17.

With a planned capacity of 10.5 MW to be implemented in Farafenni (6.0 MW) and Basse (4.5 MW), the NSP could provide 33% of the 2020 renewable energy target (30 MW solar) as well as to contribute 17% of the 2025 target (60 MW solar). Further solar PV investments will be prepared under the NSP as funding for feasibility studies has been assigned. It is planned that additional 3 feasibility studies for solar power plants with a capacity of 10-20 MW each are being carried out. This augment efforts to provide reliable and clean energy to the rural population, only 15% of whom get access to conventional electricity supply.

Specifically, implementation of NAMA will lead to three main outcomes, which are:

- Through replacing electricity generated by fossil fuel-based power plants, the NSP will lead to a **reduction in GHG emissions** of 13,481 tons of CO_2/annum (considering degradation over lifetime of the collectors). This will contribute to the implementation of SDG 7 and 13, and The Gambia's NDC.
- Socio-economic benefits for various **stakeholders** of the NAMA Support Project: NAWEC staff will be trained and their capacity to develop and implement PV projects with IPPs will be increased. 145,000 consumers in the 2 grids will be gaining improvements in quality of life (e.g., sustainable energy supply to grid connected households). This will contribute to the implementation of SDG 8 and 9.
- Catalyzing long term practical use of **financial mechanism for solar PV installation** and operation. NAWEC's capacity to implement such projects will be strengthened and will promote transformation of electricity generation using renewables. This is relevant to SDG 7 and 13.

The NSP will reduce The Gambia's GHG emissions by 12,896 tons of CO_2 eq annually and contribute towards its low-carbon development pathway. In addressing the underlying challenges with NAWEC's technical capacity, the NSP will facilitate engagement of IPPs and strengthen NAWEC's long term institutional knowledge in catalyzing financing for renewable energy. The three feasibility studies carried out during the NSP aimed at paving the way for further projects to

DocuSign Envelope ID: B6D6599B-4296-4F83-B081-83A187902737

be implemented by the end of the NSP (which runs for 5 years), with potential to add 30MW solar PV capacity leading to a further 40,000 tons of CO_2eq emission reduction.

The NAMA facility would provide up to €11.7 Million and would attract €15.5 Million investment from the private sector in equity and loans, all under a PPA Guarantee mechanism.

The project implementing partners include United Nations Capital Development Fund (UNCDF), Ministry of Environment, Climate Change and Natural Resources (MECCNAR), National Water and Electricity Company (NAWEC) and Ministry of Petroleum and Energy (MOPE). To be specific, UNDP will leverage on ongoing initiatives to support the UN SG's SE4ALL initiative and provide technical assistance and overall quality control. Additionally, UNDP would simultaneously engage in dialogues with development partners for relevant partnerships and advocacy. UNCDF will be responsible for the preparation, implementation, and management of the PPA Guarantee. As a key implementing partner, NAWEC will enter a PPA with the successful IPP(s) and would be trained to support engagements with future IPPs in renewable energy.

The NSP is aligned with Gambia's National Development Plan (NDP) and Electricity Sector Roadmap which recognizes the potential of Solar PV power for electricity generation and introducing renewables into the Gambia's energy mix. The project's mitigation actions are also aligned with Gambia's Nationally Determined Contributions (NDCs) and Nationally Appropriate Mitigation Actions (NAMA).

Contributing Outcome (UNDAF/CPD, RPD or GPD): Provision of clean and sustainable energy supply in the rural Gambia. Indicative Output(s) with gender marker[2]: • Constructed and operationalised solar OV power plants, reduced GHG emission, reduced fossil fuel import, Enhanced capacity for NAWEC,	**Total resources required:**	€11,751,199	
	Total resources allocated:	TBD	
		UNDP TRAC:	
		Donor:	11,751,199
		Government:	1,382,000
		In-Kind:	
	Unfunded:		

Agreed by (signatures)[1]:

Government	UNDP	Implementing Partner
Print Name:	DocuSigned by: Aissata De 34F3E84EB5F8421... Print Name: Aissata De	• NAWEC • MoPE • MECCNAR[2] Print Name:
Date:	Date: 6th January 2020	Date:

DocuSign Envelope ID: B6D6599B-4296-4F83-B081-83A187902737

I. DEVELOPMENT CHALLENGE

Electricity sector background and Nationally Determined Contribution (NDC)

The electricity sector in the Gambia is characterized by heavy dependency on fuel imports to meet its electricity demand due to the fact that almost all electricity in the country is produced by fossil fuel oil-based generation technology (LFO/HFO power plants).

In the Greater Banjul Area (GBA), the permanent total installed generation capacity is 88 MW based on fossil fuels of which only 62 MW are currently available. The limited available capacity is related to the constrained financial position of NAWEC, which was not able to generate sufficient financial revenues to maintain and upgrade the systems and infrastructure. Problems include under-investment, an inflexible tariff system, rising fuel prices, distribution and transmission losses nearing 40%, and non-payment of bill arrears, particularly by large commercial and industrial consumers. As a result, the company has difficulties in meeting its operating costs, investing in generation capacity, and replacing obsolete equipment. The electricity system of the GBA is supplied by additional capacity of 30 MW (HFO) thermal power plants located on the Karadeniz Powership Koray Bey since May 2018 as short-term solution to improve the stability of the power supply and to minimize frequent power outages. NAWEC signed for this purpose a 2-year 30 MW Power Purchase Agreement (PPA) with Kar powership.

Outside the capital of Banjul, NAWEC delivers electricity through two grids (North and South grid) with 10.5 MW of total installed capacity. In these power plants in Farafenni (North Grid) and Basse (South Grid), HFO is used as fuel, diesel generators which were used earlier are only used in emergency cases. There is a connection from the North Grid to Senegal, which is currently used to supply power to the North Grid. These 2 regional grids are the focus of the NSP.

The Gambia's National Development Plan (2018-2021) recognises the current electricity crises and its projected impact on economic growth with demand significantly higher than capacity. Among other things, it highlights challenges facing the sector including old, dilapidated equipment and an unfavourable policy environment to attract private investors. To improving generation capacity, the plan includes commitment to invest/expand in renewable energy by increasing total share from 2% to 40% and the engagement of the private sector. Under Gambia's Electricity Sector Roadmap, renewable energies play an important role, and solar energy is recognized as a substantial opportunity for addressing the energy gap in The Gambia. The potential generation expansion plan under Scenario 2A of the roadmap includes 3 solar PV projects to be implemented in the medium term with a total installed capacity of 60 MW.

Renewable energy is seen as a major contributor to achieving greenhouse gas emission reduction targets defined in the country's NDC. Apart from improved cook stoves, which are contributing to almost 50% of the NDC target, renewable energies (in combination with energy efficiency) are the second biggest NDC measure and are expected to contribute almost 30% of the 2030 NDC target. These measures are in addition to unconditional mitigation actions in renewable energies, focusing on renewables in lighting, communication, health facilities, and for lifting water from wells and boreholes. The NDC also mentions that investments in renewable energy technologies are highly beneficial for The Gambia, but upfront costs of renewables have been identified as a major challenge for the Gambia, due to inadequate financial resources. It is clearly mentioned in the NDC that priority should be given to renewable sources such as solar and wind.

The NAMA Support Programme (NSP) addresses the underlying challenges in transitioning towards renewable options namely financial and technical capacity of the national utility NAWEC, and risks

DocuSign Envelope ID: B6D6599B-4296-4F83-B081-83A187902737

associated with investments by IPPs in the country. During the project preparation stage, UNDP identified several country-specific challenges in the energy sector as follows:

- Low share of renewables in the energy mix at approx. 2% and limited availability of electricity
- High cost of diesel in electricity generation, imports of fossil fuels
- A poor financial situation of the national utility (NAWEC), who is also the electricity off-taker leading to inability to upgrade existing systems and make additional newer investments.

The unique challenges of this LDC required a comprehensive solution, which is being provided through a unique collaboration between UNDP & UNCDF (detailed later). This was also approved by the NAMA Facility & the NAMA donors in November 2019 (contracts signed in Oct' 2020).

With a planned capacity of 10.5 MW to be implemented in Farafenni (6.0 MW) and Basse (4.5 MW), the NSP will provide 33% of the 2020 target (30 MW solar) and contribute to 17% of the 2025 target (60 MW solar). The NSP is expected to create transformational change by scaling up the (non-) existing generation of grid connected PV based electricity to 10.5 MW during the NSP and simultaneously offsetting the country's carbon emissions. The project will also catalyse up to 30 MW additional PV capacity after the NSP lifetime through feasibility studies under the project and establishment of mechanisms including corresponding capacity to identify and engage with IPPs through NAWEC. Investments under the NSP would benefit 145,000 consumers connected to the national grid.

- The proposed NSP will provide a capacity of 10.5 MW to be implemented in the two regional grids mentioned above and provide electricity to approx. 145,000 people through grid connected households and shops, who will therefore get access to sustainable and clean energy supply. The proposed NSP will also implement a financial support mechanism that serves to mobilize capital investments from the private and public sector in low-emission alternatives. UNCDF has designed this financial support mechanism to meet the unique challenges of this project- and will be responsible for issuing, administering and monitoring the said financial support mechanism.

- In addition, further solar PV investments will be prepared under the NSP by UNDP and funding for feasibility studies has been assigned by the donor. UNDP plans to conduct 2-3 additional feasibility studies for solar power plants with a capacity of 10-20 MW each. Financially viable projects will then be supported by a suitable financial mechanism from UNCDF (PPA Guarantee, conditional upon availability of funding).

It is expected that total global GHG emissions will increase considerably during the period up to 2030, from around 2.6 million tons in 2017 to around 3.9 million tons in 2030, an increase of around 50%. The medium baseline scenario assumes a growth rate of 4.5% p.a. between 2017 and 2030. For population projections, the UN population prospectus 2012 medium fertility scenario was used.

The GHG emission reduction potential of the energy sector is described in the NDCs. The potential for GHG emission reductions in renewable energy and energy efficiency (there are no separate figures for renewable energy only) is estimated at 56,000 tons in 2020, 122,000 tons in 2025 and 174,000 tons in 2030.

The Gambia Electricity Sector Roadmap

The latest version of the Roadmap is dated October 2017 and is an update of the original Roadmap from 2015. The Roadmap includes three different scenarios with various assumptions. Scenario 2a

DocuSign Envelope ID: B6D6599B-4296-4F83-B081-83A187902737

– the preferred scenario of the Government of The Gambia in the Roadmap - considers the availability of only HFO for the whole study period i.e., it does not consider gas being an option. Solar power is restricted by the scenario definition and hence is set at 30 MW until 2020 and then 60 MW until 2025.

The Roadmap is divided into 3 phases, with specific objectives for each of the phases based on the selected scenario. The graph below gives an overview on the phases and the respective objectives.

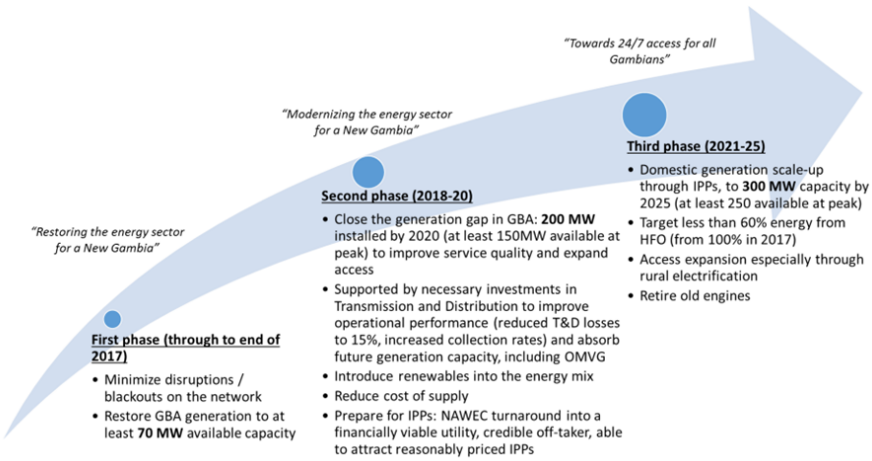


Figure 1: Energy Sector Roadmap objectives

source: Gambia Electricity Sector Roadmap – High Level Update

In the Roadmap, renewable energies play an important role and especially solar energy is recognized as a substantial opportunity for The Gambia. Declining costs of electricity generation from solar energy as well as a good solar potential (Direct Normal Irradiation (DNI) of approx. 1,525 kWh/m2) are a good basis for a strong contribution of solar power to the electricity generation. The second phase of the Roadmap (2018-2020) aims at introducing renewables into the energy mix, something the NSP will contribute to by installing 2 plants with a total installed capacity of 10.5 MW.

The potential generation expansion plan under Scenario 2A mentions 3 solar PV projects to be implemented in the medium term with a total installed capacity of 60 MW. A 20 MW solar PV plant to be financed by EIB and World Bank is under preparation, but no PPA has been signed up to now. The plant is expected to start operation in 2021. With a planned capacity of 10.5 MW to be implemented in Farafenni and Basse, the NSP can provide 33% of the 2020 target (30 MW solar) and contribute to 17% of the 2025 target (60 MW solar). Further solar PV investments will be prepared under the NSP and funding for feasibility studies has been assigned. It is planned that additional 3 feasibility studies for solar power plants with a capacity of 10-20 MW each are being carried out. Financially viable projects will then be supported by the financial mechanism (PPA Guarantee, conditional upon availability of funding).

Another key objective of the second phase is to prepare for engagement of IPPs. The Roadmap sees IPPs as important partners for NAWEC to complement the electricity system in The Gambia with additional generation capacity to stabilize the situation in the mid-term. Solar PV plants built under a build-own-operate-transfer (BOOT) scheme are explicitly mentioned as an example for IPPs. It is also mentioned that the development of a standardized process for competitive tenders and standard PPA document is essential.

The implementation of the NSP is directly supporting this objective. The 2-step tendering process conducted (Expression of Interest phase followed by Invitation to Bid) can set the standard on how to tender for IPPs. The documents prepared – both the documents on the tendering procedure as

DocuSign Envelope ID: B6D6599B-4296-4F83-B081-83A187902737

well as the technical and financial documents – can be used as templates for future tender processes. The work with NAWEC on the tendering process will increase the capacity of NAWEC to manage future tendering processes and be a competent partner for IPPs.

The Gambia National Development Plan (2018-2021)

The National Development Plan (NDP) of The Gambia was published in 2017 and aims at laying the foundations for a modern democratic state as well as addressing the most pressing economic and social shortcomings. The NDP will be realized through eight strategic priorities, including "*Strategic Priority 5: Building our infrastructure and restoring energy services to power our economy (Energy, Transport and Public Works)*". The NDP specifically mentions the target to increase the share of renewable energy in total electricity generation from 2% to 40%. The NDP also aims at increasing installed capacity from 102 MW to 250 MW and increasing the percentage of population with access to electricity from 40% to 60%. The NSP is directly contributing to the renewable energy target and the installed capacity target and provides an indirect contribution to the electricity access target by providing additional capacity in regional grids at costs lower than NAWEC's generation costs in the regional grids. This will allow NAWEC to increase supply.

Sustainable Development Goals

The NSP has the potential to contribute to the Government´s commitments towards Sustainable Development Goals (SDGs) and simultaneously foster economic growth in the country. The NSP is providing sizeable contributions to the following SDGs:

- SDG 7 – Affordable and clean energy: the NSP will contribute to the target of "increase substantially the share of renewable energy in the global energy mix by 2030" by adding an additional capacity of 10.5 MW of solar PV in 2 regional grids.
- SDG 13 – Climate Action: The NSP will lead to an annual emission reduction of 14,107 tons per year, adding up to a total emission reduction of 330,873 tons of CO2eq over the 25 years technical lifetime of the technology.
- SDG 9 – Industry, innovation, and infrastructure: The NSP will install state-of-the-art solar PV technology, thereby providing sustainable infrastructure and supporting the adoption of clean and environmentally sound technologies.

II. STRATEGY

The Theory of Change (ToC) (see figure below) is related to the overall NSP, and it seeks to illustrate the transformational potential of the NSP by describing the dependencies of its overall outcomes, outputs, and associated activities (core UNCDF intervention is related to the PPA guarantee; albeit UNCDF will provide support to UNDP in the ITB process and IPP selection). The NSP is coherent with both, (a) The Gambia's NDC and (b) The Gambia Electricity Sector Roadmap (GESR), which is the main policy document.

Renewable energy is seen as a main contributor to achieving the targets defined in the NDC. The NDC also mentions that investments in renewable energy technologies are highly beneficial for The Gambia, but upfront costs of renewables have been identified as a major challenge for the country, due to inadequate financial resources. In the GESR, renewable energies play an important role-with solar energy recognized as a substantial opportunity for The Gambia. Declining electricity generation costs as well as the country's good solar potential are identified as good basis for a strong contribution of solar power to the overall electricity generation. The Roadmap's second phase (2018-2020) aims at therefore, introducing renewables into the country's energy mix, something that the proposed NSP will contribute to by installing 2 plants with an installed capacity of 10.5 MW.

DocuSign Envelope ID: B6D6599B-4296-4F83-B081-83A187902737

The overall goal of the project is a low carbon developed society. This will be achieved through the following components and investment areas:

1. Improved renewable energy generation and increased access to electricity;
2. Increased public and private financing for renewable energy;
3. Strengthened capacity for NAWEC to engage in the implementation and upscaling of renewable energy.

Under the first component, the proposed NSP will provide a capacity of 10.5 MW to be implemented in the two regional grids in Northern and Southern Gambia and provide electricity to approx. 145,000 people through grid connected households and shops, who will therefore, get access to sustainable and clean energy supply. The capacity of 10.5 MW will be implemented in Farafenni and Basse to feed into the northern and southern grids respectively.

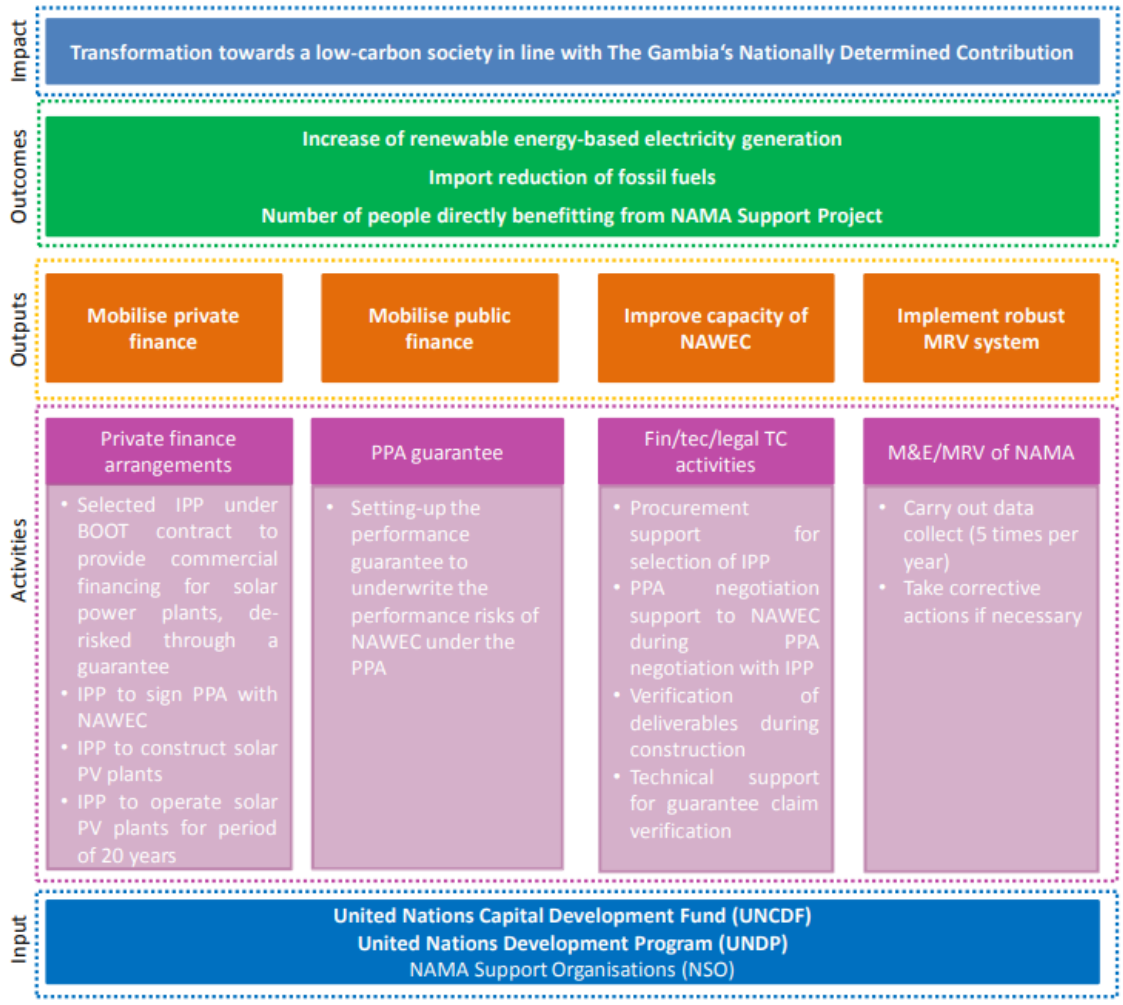
Under component 2, as previously mentioned, the project will also implement a financial support mechanism that serves to mobilize capital investments from the private and public sector in low-emission alternatives. UNCDF has designed this financial support mechanism to meet the unique challenges of this project- and will be responsible for issuing, administering, and monitoring the said financial support mechanism.

In addition, further solar PV investments will be prepared under the NSP as UNDP plans to conduct 2-3 additional feasibility studies for solar power plants with a capacity of 10-20 MW each. Financially viable projects will then be supported by a suitable financial mechanism from UNCDF (PPA Guarantee, conditional upon availability of funding).

The NSP will directly support NAWEC in strengthening its capacity to operationalise IPP engagement through a PPP as demonstrated in the Gambia Electricity Sector Roadmap. Solar PV plants built under a build-own-operate-transfer (BOOT) scheme are explicitly mentioned as an example for IPPs in the roadmap, which also recommends the development of a standardized process for competitive tenders and a standard PPA document. The 2-step tendering process conducted (Expression of Interest phase followed by Invitation to Bid) can set the standard on how to tender for IPPs. The documents prepared – both the documents on the tendering procedure as well as the technical and financial documents – can be used as templates for future tender processes. The work with NAWEC on the tendering process will increase the capacity of NAWEC to manage future tendering processes and be a competent partner for IPPs.

DocuSign Envelope ID: B6D6599B-4296-4F83-B081-83A187902737

Figure 1: Theory of Change



The NSP will create transformational change by scaling up the (non-) existing generation of grid connected PV based electricity to 10.5 MW during the NSP and catalyzing up to 30 MW additional PV capacity after the NSP. Given its financial situation, NAWEC is unable to invest in new power sector infrastructure. Therefore, competitively tendered IPPs need to become the main source of new domestic generation. The ToC illustrated above details the channels through which the NSP will achieve its intended outcomes through multiple activities each with its own set of outputs (some activities predominantly led by UNCDF or UNDP, others involving joint efforts of both agencies). These outputs together will allow the NSP to achieve its overarching goal, to increase renewable energy-based electricity generation in The Gambia and by that contribute to a transformation towards a low-carbon society in line with The Gambia's NDC. To achieve these outcomes, multiple activities have been prescribed as part of the NSP, all of which are elaborated below.

Potential for transformational change: Trough providing a PPA guarantee to the IPP[1], the quantity of renewable electricity generation will be improved and through replacement of fossil fuel-based electricity generation, imports of fossil fuels will be reduced. Both private and public finance will be mobilised for implementing the solar PV plants and the capacity of NAWEC will be increased through a set of measures of capacity building activities in technical, legal and financial aspects.

DocuSign Envelope ID: B6D6599B-4296-4F83-B081-83A187902737

Financial Leverage Potential: the NAMA Facility will provide an FC contribution of € 9.8 million to allow the setup of a PPA Guarantee mechanism. Private sector will contribute with around € 9.8 million investment (based on calculations in the financial model) to finance the implementation of the solar PV projects, provided in equity and loan. Based on the current assumptions in the model (30% equity, 70% loan), there is around € 5.7 million interest, which gives a total private sector contribution of € 15.5 million. The Government of The Gambia is contributing € 1.16 million (USD 1.3 million) by providing land (valued at € 932,400.00/USD 1.05 million) and office space for the PMU (valued at € 222,000/USD 250,000 for 5 years).

GHG mitigation potential: the 10.5 MW solar PV project will lead to annual emission reductions of 14,107 tons of CO2eq and total emission reductions of 322,000 tons of CO2eq[1] over the technical lifetime of the project (25 years). The 3 feasibility studies carried out during the NSP aim at paving the way for further projects to be implemented after the end of the NSP (which runs for 5 years). Realistically, at least additional 30 MW of solar PV capacity can be initiated by the NAMA Facility funding, which would lead to additional annual emission reductions of around 40,000 tons CO2eq and total emission reductions over the lifetime of around 920,000 tons CO2eq.

III. RESULTS AND PARTNERSHIPS

Expected Results

The overall goal of the NSP aligns with thee UNDCP CDP, Gambia's NDC and National Development plan to contribute towards a low-carbon society. The implementation of NSP will lead to three main outcomes, which are:

- Through replacing electricity generated by fossil fuel-based power plants, the NSP will lead to a **reduction in GHG emissions** of 13,481 tons/annum (considering degradation over lifetime of the collectors).
- Socio-economic benefits of **various stakeholders** benefiting directly from the NAMA Support Project: NAWEC staff will be trained and the capacity to develop and implement PV projects with IPPs will be increased. Consumers in the 2 grids will be gaining improvements in quality of life (e.g., sustainable energy supply to grid connected households).
- The NSP will catalyze impacts beyond the project by **long term practical use of financial mechanism** for PV installation and operation. NAWEC's capacity to implement such projects will be strengthened and will lead to a transformation of electricity generation towards renewables.

	UNCDF responsibility	***UNDP responsibility***
Activities related to Output1: Volume of private finance mobilized for low carbon investment and development (Solar PV plants operating based on private		**ToC Activity1- Selecting IPP for BOOT contract and signing PPA with NAWEC** Activity 1 will include: <u>Selecting IPP</u> • administering the tender process: ensuring that appropriate records are kept, documentation is properly stored, recorded and managed, and confidentiality is maintained;

DocuSign Envelope ID: B6D6599B-4296-4F83-B081-83A187902737

finance (equity and loans) provided		• ensuring equal and wide access to project data for the purposes of bid preparation: data rooms, site meetings, information meetings or other pretender events, and keep appropriate records; and • preparing responses to tender enquiries, arrange for approval and issue and record the same; • arranging public openings and prepare minutes • evaluating applications received and proposition of the shortlists for works, supplies and services; • developing evaluation reports with the results of pre-qualifications and tender processes for works, supplies and services; Signing PPA between IPP and NAWEC • documenting all the discussions, updating the contract documents as necessary and seeking all necessary approvals • ensuring that unsuccessful tenderers are notified, and the award notice is published • responding to queries and complaints as appropriate • contract finalization and signing ToC Activity 2 – Constructing and operating solar PV plants Activity 2 will include: IPP constructing PV plants Licensing for the IPP will depend on the final organisation structure and the qualification of business activities of the IPP. Primarily the Companies Act 2013 and the Electricity Act 2015 need to be taken into account. Monitoring of implementation will mainly include:

DocuSign Envelope ID: B6D6599B-4296-4F83-B081-83A187902737

		• Continuous contractor site supervision **ToC Activity 2 – Constructing and operating solar PV plants** Activity 2 will include: <u>IPP constructing PV plants</u> Licensing for the IPP will depend on the final organisation structure and the qualification of business activities of the IPP. Primarily the Companies Act 2013 and the Electricity Act 2015 need to be taken into account. Monitoring of implementation will mainly include: • Continuous contractor site supervision DocuSign Envelope ID: A1BFDA14-208E-4918-8F4C-8957C95525AF 11 • Supervision of contractor's compliance with environmental and social framework Monitoring of project progress (certification of milestones) • Delivered documentation supervision; • As-built documentation <u>IPP operating solar PV plants for period of 20 years</u> High quality operations and maintenance (O&M) mitigates potential risks and improves the performance of PV plants having a positive impact on cash flows and the return of investment. The major components of O&M include: • Environment, health, and safety • Personnel and training • Technical asset management • Power plant operation

DocuSign Envelope ID: B6D6599B-4296-4F83-B081-83A187902737

		• Power plant maintenance • Revamping and repowering
Activities related to Output2: **Volume of public finance mobilized for low-carbon investment and development** (public finance guarantee provided under the NSP ensures the operation of the project by mitigating the risk of non-payment by NAWEC)	**ToC Activity 3 – Preparing PPA guarantee scheme** Activity 3 will include finalizing the PPA guarantee scheme covering terms such as: • Termination payment • Maximum amount available to draw • Validity period • Guaranteed events • Guarantee payment amount etc	

The NSP will create transformational change by scaling up the (non-) existing generation of grid connected PV based electricity to 10.5 MW during the NSP and catalyzing up to 30 MW additional PV capacity after the NSP.

The outcome indicators for this NSP are mentioned below:

Outcomes	Outputs	Responsible institution(s)
Greenhouse gas emissions directly reduced by the NSP intervention	12,896 CO_2eq / annum (taking into account degradation)	UNDP, MECCNAR, NAWEC, MOPE
People benefitted directly from the outcome of the project or during the project implementation	The capacity of at least 10 NAWEC staff should built through the direct engagements during the project development and implementation	UNDP, NAWEC, UNCDF
	About 144,500 people who are connected to NAWEC electricity distribution lines should be able to have access to sustainable renewable energy supply	UNDP, NAWEC, MOPE
Catalysed impacts resulting in upscaled NSP or promote replication and transformation of similar projects	Practical and successful demonstration of the financial mechanism/ NSP to show that similar PPPs can be implemented in the Gambia, or	UNDP, NAWEC, MOPE, MECCNAR

DocuSign Envelope ID: B6D6599B-4296-4F83-B081-83A187902737

	the current NSP can be further upscaled.	
Increased renewable energy-based electricity supply in NBR and URR	10.5 MW of RE will be generated and distributed in the target NSP implementation regions. 16,851 PV MWh will be generated annually (over a 25-year period)	UNDP, NAWEC, MOPE, MECCNAR
Reduced importation of fossil fuel	NAWEC will be able to make savings from reduced importation of 3,964,941 litters annually, which. This will also have significant environmental benefits including reduced air pollution, land pollution from the oil spillage, and GHG emission reduction.	UNDP, NAWEC, MECCNAR
Improved M&E and MRV system established	M&E and MRV frameworks and system to be developed for the monitoring of the project output indicators and to enhance national GHG reporting mechanism.	UNDP, MECCNAR, NAWEC

Resources Required to Achieve the Expected Results

The total NAMA Facility Funding requested is € 11,751,199. Most of these funds (€ 9,820,000) will be used for the Financial Mechanism, the PPA Guarantee being managed by UNCDF. Private sector will contribute with around € 9.8 million investment (based on calculations in the financial model) to finance the implementation of the solar PV projects, provided in equity and loan. Based on the current assumptions in the model (30% equity, 70% loan), there is around € 5.7 million interest, which gives a total private sector contribution of € 15.5 million. The Government of The Gambia is contributing with € 1.16 million (USD 1.3 million) by providing land for free and providing office space for the PMU for free (valued at € 222,000/USD 250,000 for 5 years).

UNCDF will utilize € 716,989.84 in the form of GMS and will receive the guarantee amount of € 9,820,000.00 that they are expected to manage. UNDP will be utilizing €924,557 to facilitate management of the project over the 5-year project cycle.

The project's day-to-day management will be led by the PMU (Project Management Unit) and UNDP's country office (CO) with minor support from UNDP HQ. A dedicated PMU will be supervised by UNDP's relevant Programme Specialist in-country. UNDP will receive an amount € 292,793.00 (PMU salary amount and DPC) to cover the cost of the PMU staff as well as the time contributed to the project by UNDP CO staff and UNDP HQ. UNDP will also receive €53,469.00 in GMS. In the first year, a significant part of the UNDP budget will be utilized on legal, financial, and technical consultants to assist NAWEC during the PPA negotiations. A significant portion of UNDP's budget will also go towards conducting a feasibility study to potentially scale up or replicate the NAMA Support Project in other regions/areas.

Partnerships

DocuSign Envelope ID: B6D6599B-4296-4F83-B081-83A187902737

A package of technical and financial assistance is provided in a first-of-its-kind collaboration between UNCDF & UNDP, in which each organization is contributing towards the project's success by employing their individual strengths and comparative advantages:

- During project preparation, UNDP conducted the technical feasibility studies for the 2 solar power plants, supported the development of a bankable Power Purchase Agreement, a Grid Connection Agreement and a Land Sub Lease Agreement for NAWEC and worked with its global procurement team on the detailed bid documents which will be launched as "Invitation to Bid (ITB)" with a predefined technical design and flexibility on the price (per kWh). UNDP will oversee the tender process and selection of the IPP(s) and during implementation, UNDP will manage the Project and co-chair the Project Steering Committee. UNDP will also prepare additional 2-3 feasibility studies for similar solar power plants with a capacity of 10-20 MW each. For such additional solar power plants, the financially viable projects would then be supported by financing mechanisms to be provided by UNCDF such as the PPA Guarantee (conditional upon availability of funding). Hence, UNDP has been and will continue to act as the Technical NAMA Support Organization (NSO)- providing targeted TA, financial and legal support to NAWEC. Additionally, the UNDP CO is responsible for maintaining contacts and relationships with the local government in relation to this project, and on behalf of both organizations (UNDP + UNCDF).

- UNCDF has structured a financing mechanism that would address the unique challenges posed in this project. It (UNCDF) developed the financial support mechanism that is expected to mobilize capital investments from the private and public sector into low emission alternatives. The project's financial risk will be mitigated by the PPA Guarantee (to be issued by UNCDF based on funds provided by the NAMA facility), which would provide payment guarantees in the form of a standby Liquidity Support Facility and Partial Risk Guarantee ('Performance Guarantee') in terms of the PPA to be signed between the IPP ('Guaranteed Party') and NAWEC. UNCDF will act as the Financial NSO, responsible for issuing the financial support mechanism (PPA guarantee) to the IPP to improve bankability of this project and thereby, attract private capital. Further, UNCDF will administer any payment calls under this guarantee and monitor the guarantee for its entire duration.

In addition to the partnership between UNDP and UNCDF, there will also be strong partnerships formed between the UNDP CO and key national partners with various responsibilities in the project implementation. These partners include:

- Ministry of Environment, Climate Change and Natural Resources (MECCNAR)
- Ministry of Petroleum and Energy (MOPE)
- Ministry of Finance and Economic Affairs (MOFEA)
- National Water and Electricity Company (NAWEC)
- Ministry of Lands and Regional Government (MOLRG)
- National Environment Agency (NEA)
- Public Utilities Regulatory Authority (PURA)
- Gambia Investment & Export Promotion Agency (GIEPA)
- Gambian Chamber of Commerce and Industry (GCCI)

NAWEC is the key implementing partner of the project by virtue of it being the utility company overseeing power generation (either independently or through an IPP) and the sole company responsible for the sale of electricity in the Gambia. The company has complete ownership of the

DocuSign Envelope ID: B6D6599B-4296-4F83-B081-83A187902737

disconnected national grids and electricity distribution line. Therefore, the IPP of the NSP will need to sign a PPA with NAWEC and will also connect to NAWEC's grids to supply renewable energy to the beneficiaries in the two regions (NBR and URR).

The ***Ministry of Petroleum and Energy (MOPE***) is the line Ministry of the NAWEC, and it is the policy institution of the energy sector. The Ministry, therefore, will support the implementation of this NSP alongside the NSO and the implementation partners. The MOPE oversees NAWEC's operations and will participate in the Steering Committee to guide and oversee the implementation of the NSP.

The ***Ministry of Environment, Climate Change and Natural Resources*** (MECCNAR) in collaboration with MoPE are the two national Ministries that endorsed the NAMA project and have complementary mutual objectives for the project. The Ministry of Environment will benefit from GHG mitigation potential of the project while the MoPE will benefit from the additional electricity generation capacity also to promote energy mix in the electricity sector. MECCNAR will host the PMU which will consist of a Project Manager, Project Engineer, and an M&E officer. The Ministry will also chair the project steering committee (PSC) that provides overall guidance to the NSP implementation.

Risks and Assumptions

Identified risks	**Mitigation measures**
Insufficient interest/ participation in tender for implementation of PV plants (including PPA guarantee)	• Timely publishing tender for the construction of PV plants relying on the expertise and guidance from the leadership of UNDP regional procurement support unit at Copenhagen. • Provide technical support to NAWEC by contracting legal, financial and solar PV expert to support the PPA development, negotiation and contract signing between the IPP and NAWEC. This will facilitate smooth construction and commissioning of the IPP. • Feasibility study covered analysis of the supply and demand to ensure the PV based electricity generation from the NSP meets expectations.
Lack of security for payments from off-taker (NAWEC): NAWEC's financial deficits as the off taker of electricity supplied by the IPP poses a risk of default payments.	• To cover this main risk in the NSP, a PPA Guarantee has been selected as the financial mechanism to overcome this barrier. The financial risk of the IPP is mitigated by the PPA Guarantee, where the IPP will be paid from the funds provided by the NAMA Facility in case of payment default on NAWEC's side.
Lack of experience with larger scale renewable energy installations in isolated regional grids	• NAWEC's staff to benefit from hands-on training during the project implementation.
Equity constraints and investment risks of medium sized companies in the region and even smaller companies in The Gambia that commercial banks don't tolerate. Lack of	• An Expression of Interest was launched prior to the development of the tender for the NSP. Over 41 companies expressed interest in the project.

DocuSign Envelope ID: B6D6599B-4296-4F83-B081-83A187902737

interest of IPPs due to challenging environment	
No standard process for competitive IPP tenders in the Gambia	• UNDP procurement support unit in Copenhagen will be responsible for the management of all procurements process involved in the selection of an IPP.
Demand and supply for PV based electricity not within expectations	• Feasibility study under the NAMA project took the OMVG interconnection project which is anticipated to connect regional grid to the grids in Greater Banjul Area (GBA). Given the high demand of electricity, a successful connectivity expansion will also increase electricity consumption (market) supplied from the solar PV facility.
Land allocation: Delays in finalising land allocation to the NAMA project	• UNDP is coordinating with national stakeholders to ensure timely compensation to the people affected by the land allocations to the NSP.

Stakeholder Engagement

The relevant stakeholders for this project have been involved in the design of the project. Coordinated by UNDP, several high-level meetings as well as meetings on technical level have been carried out. The table below lists all national stakeholders involved in the NSP. These institutions will be members of the Project Steering Committee (PSC), which will be chaired by MECCNAR.

Relevant Stakeholders	Role in Implementation of NAMA Support Project
MECCNAR	The primary role of the Ministry of Environment, Climate Change and Natural Resources is to facilitate governance in the protection, management, conservation and the development of the environment and natural resources including its biodiversity, for sustainable development. MECCNAR will host the PMU and chair the Steering Committee.
MOPE	The Ministry of Petroleum and Energy oversees NAWEC's operations and will participate in the Steering Committee to guide and oversee the implementation of the NSP.
MOLGL	The Ministry of Lands and Regional Government is the main agency for local government planning and land development in the Gambia. The Ministry will be member of the Steering Committee.
NEA	The Gambia National Environment Agency's goal is to achieve the essential policy objectives of the Gambia Environmental Action Plan as: ensuring an environmentally sustainable economic and social development; and to have a legal recognition of the fundamental right to a sound environment, ensuring health and well-being. The Agency will be member of the Steering Committee.
PURA	The Public Utilities Regulatory Authority (PURA) is The Gambia's independent multi-sector regulator established by Parliament under PURA Act 2001 to regulate the following sectors: broadcasting, electricity, telecommunications (mobile, landline and ISP), petroleum (downstream) and water and sewage. The Agency will be member of the Steering Committee.
GCCI	The Gambian Chamber of Commerce and Industry (GCCI) is representing the interests of the business sector in The Gambia. The Chamber will be member of the Steering Committee.

DocuSign Envelope ID: B6D6599B-4296-4F83-B081-83A187902737

Relevant Stakeholders	Role in Implementation of NAMA Support Project
GIEPA	The Gambia Investment & Export Promotion Agency (GIEPA) is the national agency established by an Act of Parliament in July 2010 responsible for the promotion and facilitation of private sector investments into The Gambia. The Agency will be member of the Steering Committee.

South-South and Triangular Cooperation (SSC/TrC)

During project design, there were no established SSC between this NSP and other countries in the region. As the study unfolds, the NSP will explore possible SSC/TrC with countries that have advanced in the implementation of similar Solar PV /PPA projects. For instance, NSP will facilitate exchanges with South Africa and other countries in the region for learning and exchanging best practices in solar-based PPA negotiations and management.

Knowledge Management

A budget of €1,798.00 is provided to support visibility activities of the NSP including the installation of signboards at the project sites, creation of documentaries to publicise the project and for knowledge management in the long term. Furthermore, UNDP and UNCDF will jointly develop communication pieces to be published by the NAMA facility and the respective agencies.

Sustainability and Scaling Up

The NSP will create transformational change by scaling up the (non-) existing generation of grid connected solar PV based electricity to 10.5 MW during the NSP and catalyzing up to 30 MW additional PV capacity after the NSP. To ensure sustainability of the project, NAWEC will benefit from capacity building with respect to PPA development and implementation and engagement with IPPs. Given that the NSP is a Build, Own, Operate and Transfer (BOOT) project, the PV plants will be transferred to NAWEC after 20 years, by which time their capacity should have been enhanced to ensure continuity of the operations.

Realistically, at least additional 30 MW of solar PV capacity can be initiated by the NAMA Facility funding, which would lead to additional annual emission reductions of around 40,000 tons CO2eq and total emission reductions over the lifetime of around 920,000 tons CO2eq.

The success of this project and identification of additional feasible projects (by UNDP) would enable a “scale up” of this innovative approach as follows:

- The partnerships developed with national stakeholders such as NAWEC could enable replication of a similar approach in 2-3 locations in The Gambia (depending on UNDP’s feasibility studies) wherein the financially viable projects could be supported by a (likely similar) financing mechanism from UNCDF (additional PPA guarantees conditional upon residual guarantee funds at the end of the current project life & availability of additional funding).

- “Scale up” is also anticipated through the catalytic leverage from UNCDF’s intervention. The lessons and learnings from the planned implementation of this 10.5 MW grid connected solar PV project are expected to demonstrate to national authorities that this model (using the IPP modality) is a viable model to increase the country’s renewable power capacity.

DocuSign Envelope ID: B6D6599B-4296-4F83-B081-83A187902737

Furthermore, it would demonstrate to the private sector and commercial investors, the commercial viability of such opportunities, hopefully encouraging others to invest in future projects with less (or no) de-risking. Further, both, UNCDF & UNDP could take the learnings from this project to replicate such an approach in other countries as well- ensuring further scale up. In light of such potential opportunities for replication and scale up, the programme has budgeted an unfunded portion to cover early and flexible deployment of preparatory actions.

As the "BOOT" model implies, the solar PV plants will be operated and maintained by the IPP during the 20 years concessional period. The IPP will sign a PPA and a Connection Agreement with NAWEC for the delivery of electricity as well as a sublease agreement for the land to be provided for free. After an operation time of 20 years, the IPP will hand-over the assets to NAWEC. After the handing-over, NAWEC will be responsible for all maintenance and operational activities. The maintenance and the operation of the PV facility does not extend to the Grid interconnection, which is solely NAWEC's responsibility.

IV. PROJECT MANAGEMENT

Cost Efficiency and Effectiveness

The NSP is designed to maximise impact with a reasonable resource. The project will engage three core staff whose work are supplemented and supported by the UNDP CO environment programme unit. The NSP also enjoys support from other UNDP Core units (Finance and procurement). This has leveraged the personnel costs instead of hiring a full time Procurement and Finance officer to support the project. The NSP will ensure value for money in project procurements and operations and mitigate any potential financial risks.

In addition to UNDP core support, the PMU is also supported by Technical Working Group (TWG) focal persons from MoPE, MECCNAR, NAWEC and PURA, in the project implementation. The strategic partnership modalities under NSP with Government and Private entities will leverage technical expertise and co-financing and co-investments into the project. Also, the project steering committee helps provide specialised guidance to the PMU and discuss high level issues that requires the intervention of key decision makers.

Project Management

At the country level, UNDP's country office (CO) will take the lead in working with national stakeholders and managing the project during the project implementation. By virtue of its role as the Technical NSO, UNDP will continue to work with its global procurement team on the detailed bid documents which will be launched as an ITB (Invitation to Bid), will oversee the tender process and selection of the IPP(s), conduct overall project management and co-chair the PSC & TWG. Further, UNDP will facilitate additional feasibility studies for similar solar power plants with a total capacity of 30 MW.

As the financial NSO, UNCDF will issue, administer, and monitor the PPA guarantee from its headquarters at New York. UNCDF will also participate as an observer in the IPP selection process and provide advice and technical support to the project. The cooperation between UNCDF & UNDP will be managed through the Management Advisory Committee (detailed in the Governance section). The NSOs (UNDP and UNCDF) will also be collaborating with NAWEC (key implementing partner), MoPE, MECCNAR, and other regulatory stakeholders (previously outlined in the stakeholder engagement section)

The detailed milestones and management actions are outlined in the table below:

DocuSign Envelope ID: B6D6599B-4296-4F83-B081-83A187902737

Phase	Milestone	Management Action
Preparatory	• Publishing tender documents • Evaluating bids/ awarding notice • Finalisation of PPA Document • Signing PPA, connection agreement and land sublease agreement • Set-up of IPP legal structure	Management will facilitate the development of: • ITB, • PPA, • Network connection agreement • Lands sub-lease agreement
Implementation	• Construction • Operation • NAMA M&E/ MRV	• Management to facilitate PPA negotiations and contract signing between the IPP and the off taker (NAWEC) • Conduct regular M&E, MRV checks to ensure compliance
Scaling-up	• Feasibility Studies	Management to facilitate the recruitment of technical consultant (consultancy firm) to conduct feasibility study on potential scaling up of existing NSP

The PMU of the project will be hosted at one of the project complexes of the Ministry of Environment, Climate Change and Natural Resources under the overall supervision of UNDP.

Role and mandate of institutions responsible for implementation of the NSP

UNDP is the National Support Organization (NSO) for this NAMA Support Programme (NSP). UNDP's key responsibility is to implement the technical assistance activities and to ensure the programme's quality control and monitoring. The technical assistance activities will include technical, legal, and financial support during identification of IPP and PPA negotiations as well as training of NAWEC staff. Additionally, UNDP will be responsible for the MRV as detailed in Annex 6 and will ensure that regular trainings on the MRV are provided to the NSP staff.

UNDP has been active in The Gambia since 1975 and operates based on five-year Country Programmes. The UNDP Country Office in The Gambia's 2017-2021 Country Programme Document (CPD) focuses on (a) inclusive economic growth and poverty eradication; (b) governance and human rights; and(c) environment and resilience development. The UNDP Country Office in The Gambia aims to address the root causes of vulnerability to accelerate growth, build resilience and promote good governance. The strategic choices of the current Country Programme are in line with the broad objectives of the post-2015 agenda, Agenda 2063 of the African Union, the Sustainable Development Goals and The Gambia's National Development Plan.

The Country Office has been supporting the Government of The Gambia in accessing finance for climate change projects through the Global Environment Facility (GEF) and the Green In recent years, the UNDP Country office in The Gambia has implemented several GEF funded projects with a combined value of about USD 13.1 million. The themes of these GEF funded projects range from

DocuSign Envelope ID: B6D6599B-4296-4F83-B081-83A187902737

climate adaptation and natural resource management to disaster risk reduction. Through core UNDP funding, the UNDP Country Office in The Gambia has worked with government, NGOs and national stakeholders to further contribute to efforts of climate change adaptation and mitigation as well as the promotion of renewable energy in remote communities. This has been done through the implementation of various grassroot activities and support to the government on policy formulation and implementation. Most notably, the Country Office has worked with the Mbolo Association to train young women and girls in solar installation and to construct a solar powered multi-functional platform in the community of Mamuda. The Country Office has also worked with the Ministry of Petroleum and Energy on standalone (Multi-Functional Platforms-MFP) in five rural communities powering time and labour-saving machines for women in multiple off-grid communities.

Climate Fund (GCF) and has vast experience in both direct and national implementation modalities. Over the years, the country office has worked closely with NGOs such as the Mbolo Association and government partners such as the Ministry of Petroleum and Energy to implement projects focused on renewable energy promotion in support of the UN SG's SE4ALL agenda.

As a key member of the Development Partner's Technical Working Group on Energy and Infrastructure, UNDP participates in bi-monthly dialogues that aim to harmonise development aid to the sector in the country.

UNCDF (United Nations Capital Development Fund) (NSO) will be responsible for the preparation, implementation, and management of the PPA Guarantee. As the financial NSO, UNCDF will issue, administer and monitor the PPA guarantee from its headquarters in New York. The agency will also participate as an observer in the IPP selection process and provide advice and technical support to the project. The project's focal point will be LDCIP's Investment Specialists, under the leadership of the Director of the LDCIP. The project will also be supported by UNCDF's FMS, who will provide financial and operational support to ensure the delivery of the guarantee mechanism and subsequent management of the fees.

The United Nations Capital Development Fund (UNCDF) was created on 13 December 1966 by the UN General Assembly. It is an autonomous, voluntarily funded UN organization, affiliated with UNDP and currently has around 200 employees. UNCDF was established to "assist developing countries in the development of their economies by supplementing existing sources of capital assistance by means of grants and loans".Then in 1973, UNCDF's activities were re-oriented towards to "first and foremost the least developed among developing countries".

NAWEC (National Water and Electric Company) is the key implementing partner in the NSP. NAWEC will enter into a PPA, Connection Agreement and Land Sublease Agreement with the successful IPP selected based on an international ITB. NAWEC will pay the agreed price in the PPA for electricity delivered and make regular fee payments to the IPP based on actual production.

National Water and Electricity Co. Ltd (NAWEC) was established in June 1996 under the Companies Act of 1955 as a Public Limited liability Company. NAWEC is engaged in the generation and provision of electricity, water, and sewerage services for domestic, public and industrial purposes. NAWEC succeeded the Gambia Utilities Corporation (GUC), which was established by an Act of parliament in 1972 and the Utilities Holding Corporation (UHC), which was established by Presidential Executive Order in 1992. UHC entered a leasing contract with SOGEA which formed a company, Management Services Gambia Limited (MSG) to operate and manage the assets profitably. This arrangement was terminated in February 1995, leaving UHC with the management responsibility of the assets.

DocuSign Envelope ID: B6D6599B-4296-4F83-B081-83A187902737

NAWEC is mandated for the provision of electricity, water, and sewerage service in The Gambia. It is governed by a Board of Directors which is appointed by the Minister for Petroleum and Energy. The Managing Director, appointed by the President, is responsible to directly oversee the operations of the Company. NAWEC has six divisions each headed by a Director who reports directly to the Managing Director.

The electricity, water and sewerage assets are owned by government but managed and operated by NAWEC. As a public enterprise NAWEC has not operated on a commercial basis in the sense that both water and sewerage are subsidized by the electricity division.

The Gambia Ministry of Environment, Climate Change and Natural Resources (MECCNAR) will support the implementation of this NSP alongside the NSO and the implementation partners. The primary role of the Ministry is to facilitate governance in the protection, management, conservation and the development of the environment and natural resources including its biodiversity, for sustainable development. It mission is to:

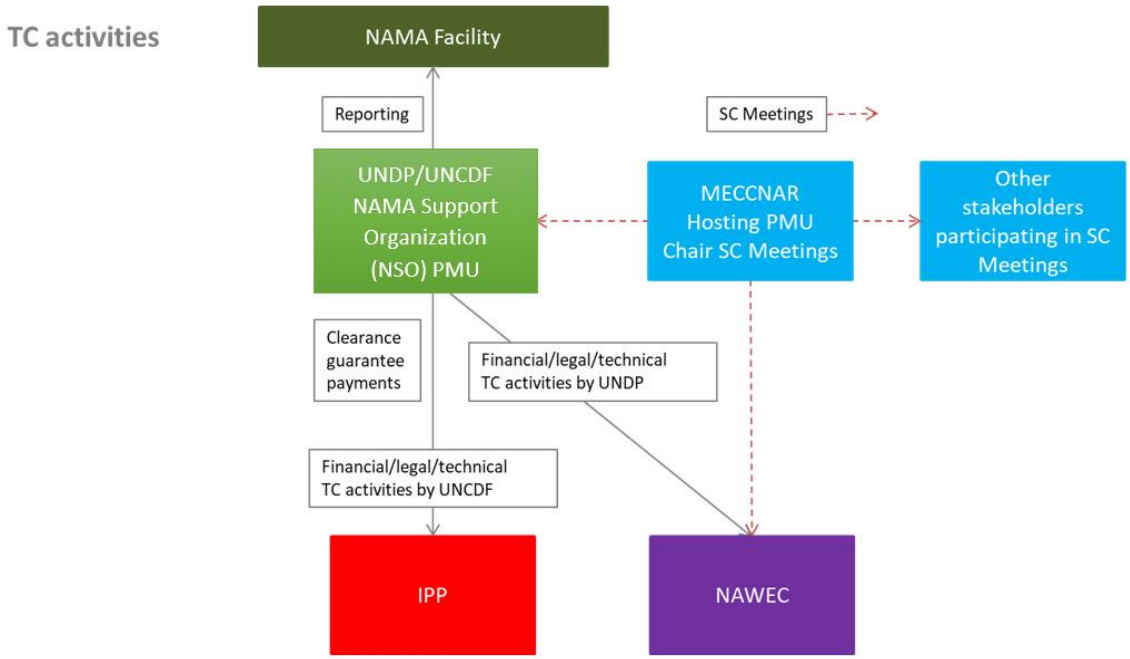
- Promote long-term environmental sustainability through collaborative planning, public awareness campaigns and capacity building of stakeholders.
- Mainstream climate change into the economic development process and promote food security for the Gambia by provision of timely and accurate climate information.
- Promote biodiversity conservation by increasing terrestrial, inland water, coastal and marine protected areas and strengthen management effectiveness of existing and planned Protected Areas (Pas).

MECCNAR will host the Project Management Unit (PMU), which will consist of a national coordinator, a project engineer, an M&E officer and administrative support. MECCNAR also chairs the Steering Committee, consisting of: MECCNAR, Ministry of Petroleum and Energy (MOPE), NAWEC, Ministry of Lands and Regional Government (MOLGL), National Environment Agency (NEA), Public Utilities Regulatory Authority (PURA), Gambian Chamber of Commerce and Industry (GCCI), Gambia Investment & Export Promotion Agency (GIEPA) and UNDP/CDF. UNCDF will be advisor to the Steering Committee.

The Gambia Ministry of Petroleum and Energy (MOPE) will support the implementation of this NSP alongside the NSO and the implementation partners. The MOPE oversees NAWEC's operations and will participate in the Steering Committee to guide and oversee the implementation of the NSP.

The Flow chart below illustrates the structural relationship (institutional arrangement) of the NSP.

DocuSign Envelope ID: B6D6599B-4296-4F83-B081-83A187902737



From the TC funds, UNDP will also cover the costs of Steering Committee meetings and MRV Checks for a period of 5 years. The Steering Committee will consist of the following institutions:

- Ministry of Environment, Climate Change and Natural Resources (MECCNAR), Chair
- Ministry of Petroleum & Energy (MOPE)
- National Water and Electricity Company (NAWEC)
- Ministry of Lands and Regional Government (MOLGL)
- National Environment Agency (NEA)
- Public Utilities Regulatory Authority (PURA)
- Gambia Investment & Export Promotion Agency (GIEPA)
- Gambian Chamber of Commerce and Industry (GCCI)
- UNDP

UNCDF will act as an Advisor to the Steering Committee.

UNDP as the NSO, will be the entity reporting to the NAMA Facility.

UNDP PMU will coordinate the periodic Management Advisory Committee (MAC) meetings to be held between UNDP and UNCDF

UNDP PM and NAWEC (Focal person) will co-chair the TWG forth-nightly meetings

DocuSign Envelope ID: B6D6599B-4296-4F83-B081-83A187902737

V. RESULTS FRAMEWORK[1]

[1] UNDP publishes its project information (indicators, baselines, targets and results) to meet the International Aid Transparency Initiative (IATI) standards. Make sure that indicators are S.M.A.R.T. (Specific, Measurable, Attainable, Relevant and Time-bound), provide accurate baselines and targets underpinned by reliable evidence and data, and avoid acronyms so that external audience clearly understand the results of the project.

DocuSign Envelope ID: B6D6599B-4296-4F83-B081-83A187902737

Intended Outcome as stated in the UNDAF/Country [or Global/Regional] Programme Results and Resource Framework:
Outcome indicators as stated in the Country Programme [or Global/Regional] Results and Resources Framework, including baseline and targets:
Applicable Output(s) from the UNDP Strategic Plan:
Project title and Atlas Project Number:

EXPECTED OUTPUTS AND OUTCOMES	**OUTPUT AND OUTCOME INDICATORS[1]**	**DATA SOURCE**	**BASELINE**		**TARGETS (by frequency of data collection) 2020-2024**						**DATA COLLECTION METHODS & RISKS**
			Value	**Year**	**Year 1**	**Year 2**	**Year 3**	**Year 4**	**Year 5**	**FINAL**	
Mandatory Outcome 1 + TOC Outcome 1 GHG emissions reduction	**1.1 Outcome Indicator -** Amount of GHG emissions directly reduced by the NSP intervention	Generation reports by IPP based on standard metering, payments by NAWEC	*0*	*2020*	*0*	*0*	*12,896 tCO2*	*12,896 tCO2*	*12,896 tCO2*	*38,688 tCO2*	*Periodic M&E reports and monitoring visits* *Risk of NAWEC failing the payment Terms with the IPP in the PPA agreement.*

[1] It is recommended that projects use output indicators from the Strategic Plan IRRF, as relevant, in addition to project-specific results indicators. Indicators should be disaggregated by sex or for other targeted groups where relevant.

Mandatory Outcome 2 **Direct beneficiaries of NSP**	**2.1 Outcome indicator** People gaining improved capacities (target group NAWEC staff – capacity to develop and implement PV projects with IPPs) **2.2 Outcome Indicator -** People gaining improvements in quality of life (e.g. sustainable energy supply to grid connected households)	contracts with technical experts supporting NAWEC during IPP implementation, signed lists of participation in trainings etc. Generation reports by IPP based on standard metering, payments by NAWEC, connection rates, IDA/ IBRD reports	*0/10* *0*	*2020*	*5* *0*	*5* *0*	*0* *144,500 people*	*0* *144,500 people*	*0* *144,500 people*	*10 staff* *144,500 people*	*Periodic M&E reports, BtoR, Training attendance lists* Risk of inadequate technical capacity of NAWEC to implement the project and to increase in-house capacity for PPAs and technical aspects
Mandatory Outcome 3 NSP Project's (potential for scaling up, replication and transformation)	**3.1 Outcome indicator -** Replicable, scalable and/or long-lasting financial instruments for financing low-carbon sustainable development (e.g. technologies, business models, etc.) have been established **3.2 Outcome indicator -** Practical implementation of theoretical PPP model and increase of existing grid connected PV from (almost) 0 to 10.5 MW (0/10.5) **3.3 Outcome indicator -** Long term practical use of financial mechanism for PV installation and operation, installed capacity of grid connected PV beyond the NSP (0/30-40)	signed PPA between NAWEC and IPP, commissioning certificates, feasibility studies for further IPP projects, periodic PURA reports, PV market reports such as IRENA, Bloomberg etc.	*0* *0* *0*	*2020*	*level of likelyhood = 0* *level of likelyhood = 0* *0*	*level of likelyhood = 2* *level of likelyhood = 0* *30MW up scaling potential*	*level of likelyhood = 4* *level of likelyhood = 0* *0*	*level of likelyhood = 4* *level of likelyhood = 2* *0*	*level of likelyhood = 4* *level of likelyhood = 3* *0*	*level of likelyhood = 4* *level of likelyhood = 3* *30MW up scaling potential*	Feasibility study Risk of under-implementaton oflong-term practical use of (financial mechanism) for PV installation and operation, no installed capacity of grid connected PV beyond the NSP

DocuSign Envelope ID: B6D6599B-4296-4F83-B081-83A187902737

Mandatory Outcome 4 **+** **TOC Output 2** **Volume of public finance mobilized**	**4.1 Outcome/Output Indicator -** Volume of public finance mobilized for low-carbon investment and development	*GoTH, NAWEC*	*0*	*2020*	€ 1.382 M.	*0*	*0*	*0*	*0*	€ 1.382 M.	Acquisition of legal documentation of land ownership, confirmation of costs for EIA Risks of potential land encroachment(s)
Mandatory Outcome 5 **+** **TOC Output 1** **Volume of private finance mobilized**	**5.1 Outcome/Output Indicator** - Volume of private finance mobilized for low-carbon investment and development	*NAMA facility, UNCDF, IPP*	*0*	*2020*	€ 9.8 million	*0*	*0*	*0*	*0*	€ 9.8 million	Tender evaluation report, Signed PPA contract, Connection agreement and land sub-lease agreement Risk that investment costs higher than expected Risk of no standard documentation/contracts
ToC Outcome 2 Increase of renewable energy-based electricity generation	**6.1 Outcome indicator -** Increase of renewable energy-based electricity generation 6.1.1 PV MW installed 6.1.2 PV MWh annual generation	generation reports by IPP based on standard metering, payments by NAWEC	*0* *0*	*2020* *2020*	*0* *0*	*10.5* *0*	*0* *16,851*	*0* *16,851*	*0* *16,851*	10.5 50,553	*UNDP & MECCNAR/ NAWEC periodic M&E reports* *Risk of demand and supply for PV based-electricity not within expectations* *Risk of insufficient interest/participation in tender for implementation of PV plants (PPA Guarantee)*

DocuSign Envelope ID: B6D6599B-4296-4F83-B081-83A187902737

ToC Outcome 3 Reduction of fossil fuels imports	**7.1 Outcome indicator - Reduction** in fossil fuel imports	IPP, NAWEC.	*0*	*2020*	*0*	*0*	*3,964, 941 l per annum*	*3,964, 941 l per annum*	*3,964, 941 l per annum*	11,89 4,823 litres	*UNDP & MECCNAR/ NAWEC periodic M&E reports* *Risk of demand for PV power supply not meeting expectations, hence prompting NAWEC's utilisation of more fossil fuels*
ToC Outcome 4 Income generation through increased availability of electricity	**8.1 Outcome indicator -** Income generation through increased availability of electricity	*NAWEC, Regional network households and livelihoods, MECCNAR, UNDP M&E Reports*	*0*	*2020*	*0*	*0*	*144,500 people*	*144,500 people*	*144,500 people*	*144,500 people*	FGDs and KII with households connected to the grid in the project area Risks of livelihoods depending on electricity adversely impacted by inadequate PV power supply
TOC Output 3 Improve the capacity of NAWEC	**ToC Output 3** Improve the capacity of NAWEC • Standard PPA document finalized, used by trained NAWEC staff • Experience gained by NAWEC staff with use of PPA guarantee mechanism (expectations of project developers and financial sector in PPA and insurance approaches) • Number of feasibility studies for further NAWEC originated PV IPP projects	standard PPA document., document about financing mechanism, feasibility reports, pubic tenders etc	*0* *0* *0*	*2020* *2020* *2020*	*1* *1* *0*	*0* *0* *0*	*0* *0* *0*	*0* *0* *3*	*0* *0* *0*	*1* *1* 3	*UNDP & MECCNAR/ NAWEC periodic M&E reports* Risk of inadequate of capacity of NAWEC

DocuSign Envelope ID: B6D6599B-4296-4F83-B081-83A187902737

TOC **Output 4** Improve NAMA efficiency through M&E/ MRV	**10.1 Output Indicator** - Improved NAMA efficiency through M&E/ MRV	the final NSP M&E plan will be signed off by responsible position nominated by *UNDP & MECCNAR/ NAWEC,* regular reports	*0*	*2020*	*1*	*1*	*1*	*1*	*1*	*1*	*UNDP & MECCNAR/ NAWEC, IPP - periodic M&E plan and reports*

DocuSign Envelope ID: B6D6599B-4296-4F83-B081-83A187902737

VI. MONITORING AND EVALUATION

In accordance with UNDP's programming policies and procedures, the project will be monitored through the following monitoring and evaluation plans:

Monitoring Plan

Monitoring Activity	Purpose	Frequency	Expected Action	Partners (if joint)	Cost (if any)
Track results progress	Progress data against the results indicators in the RRF will be collected and analysed to assess the progress of the project in achieving the agreed outputs.	Quarterly, or in the frequency required for each indicator.	Slower than expected progress will be addressed by project management.	PMU Monitoring visits with TWG	
Monitor and Manage Risk	Identify specific risks that may threaten achievement of intended results. Identify and monitor risk management actions using a risk log. This includes monitoring measures and plans that may have been required as per UNDP's Social and Environmental Standards. Audits will be conducted in accordance with UNDP's audit policy to manage financial risk.	Quarterly	Risks are identified by project management and actions are taken to manage risk. The risk log is actively maintained to keep track of identified risks and actions taken.	UNDP /PMU	
Learn	Knowledge, good practices and lessons will be captured regularly, as well as actively sourced from other projects and partners and integrated back into the project.	At least annually	Relevant lessons are captured by the project team and used to inform management decisions.	UNDP and UNCDF	
Annual Project Quality Assurance	The quality of the project will be assessed against UNDP's quality standards to identify project strengths and weaknesses and to inform management decision making to improve the project.	Annually	Areas of strength and weakness will be reviewed by project management and used to inform decisions to improve project performance.	UNDP	
Review and Make Course Corrections	Internal review of data and evidence from all monitoring actions to inform decision making.	At least annually	Performance data, risks, lessons and quality will be discussed by the project board and used to make course corrections.	UNDP/PMU, UNCDF	
Project Report	A progress report will be presented to the Project Board and key stakeholders,	Annually, and at the end of the		UNDP/PMU	

DocuSign Envelope ID: B6D6599B-4296-4F83-B081-83A187902737

	consisting of progress data showing the results achieved against pre-defined annual targets at the output level, the annual project quality rating summary, an updated risk long with mitigation measures, and any evaluation or review reports prepared over the period.	project (final report)			
Project Review (Project Board)	The project's governance mechanism (i.e., project board) will hold regular project reviews to assess the performance of the project and review the Multi-Year Work Plan to ensure realistic budgeting over the life of the project. In the project's final year, the Project Board shall hold an end-of project review to capture lessons learned and discuss opportunities for scaling up and to socialize project results and lessons learned with relevant audiences.	Specify frequency (i.e., at least annually)	Any quality concerns or slower than expected progress should be discussed by the project board and management actions agreed to address the issues identified.	PSC/ UNDP/PMU	

Evaluation Plan[1]

Evaluation Title	Partners (if joint)	Related Strategic Plan Output	UNDAF/CPD Outcome	Planned Completion Date	Key Evaluation Stakeholders	Cost and Source of Funding
Mid-Term Evaluation	UNDP, UNCDF	• **Inclusive and sustainable solutions adopted to achieve increased renewable energy**	**By 2021, National institutions and community capacities are strengthened for effective disaster risk**	2022	NAWEC, MECCNAR, UNDP, UNCDF, Beneficiaries	1% of project

[1] Optional, if needed

		access and efficiency • **Scaled-up actions on climate change adaptation and mitigation implemented**	**management, climate change response actions and resilience.**			

DocuSign Envelope ID: B6D6599B-4296-4F83-B081-83A187902737

VII. MULTI-YEAR WORK PLAN [12]

EXPECTED OUTPUTS	PLANNED ACTIVITIES	Planned Budget by Year					RESPONSIBLE PARTY	PLANNED BUDGET		
		Y1	Y2	Y3	Y4	Y5		Funding Source	Budget Description	Amount
Output 1 and Output 2 Private and Public financing mobilised	1.1 Selection of IPP (Procurement: Technical, Legal and Finance expert Consultants)	28,768	0	0	0	0	UNDP, UNCDF, Private Sector, National Stakeholders	NAMA Facility	Grants, Direct procurements	28,769.00
	1.2 ITB and bid evaluation, *Signing PPA, connection agreement and land sublease agreement (Legal, Technical and Finance expert)*	111,476	0	0	0	0	UNDP, NAWEC, UNCDF	NAMA Facility	Direct costs	111,476.00
	1.3 Constructing and operating solar PV plants (*monitoring and verification)*	5,754	0	0	0	0	UNCDF, IPP, NAWEC	NAMA Facility, Government in-Kind	Grant, Private Finance	5,754.00
	Sub-Total for Output 1									
Output 3 and Output 4: Improved capacity of NAWEC and Robust MRV framework	2.1 Improve NAWEC Capacity	0	0	0	0	0	UNDP, NAWEC	NAMA facility		0
	2.2 Technical Feasibility Studies	100,000	0	0	0	0	UNDP	NAMA Facility	Direct cost	100,000
	Monitoring (MRV checks)	8,990	8,990	8,990	8,990	8,990	UNDP	NAMA facility	Direct costs (DSA, Travel)	44,950
	Sub-Total for Output 2									
Project management and oversight	Steering Committee meetings,	5,394	5,394	5,394	5,394	5,394	UNDP			26,970
	UNDP Admin support,	11,711	11,711	11,711	11,711,	11,711	UNDP			58,553
	Project visibility	1,798	1,798	1,798	1,798	1,798				8,900
	Global Procurement Support									179,800
	Miscellaneous									13,036

[1] Cost definitions and classifications for programme and development effectiveness costs to be charged to the project are defined in the Executive Board decision DP/2010/32

[2] Changes to a project budget affecting the scope (outputs), completion date, or total estimated project costs require a formal budget revision that must be signed by the project board. In other cases, the UNDP programme manager alone may sign the revision provided the other signatories have no objection. This procedure may be applied for example when the purpose of the revision is only to re-phase activities among years.

	8% for Management support			53,469
	DPC (oversight, procurement, finance)			66,526
	PMU Personnel (National Coordinator, Project Engineer, M&E officer)			226,267
	1 % levy			117,512
	Total			1,042,069

DocuSign Envelope ID: B6D6599B-4296-4F83-B081-83A187902737

VIII. GOVERNANCE AND MANAGEMENT ARRANGEMENTS

Overall Project Governance – external to UNCDF:

UNCDF and UNDP have arrived at the following 3-layered governance structure for the execution of the NSP in The Gambia:

1. Technical Working group- to discuss day-to-day project execution related matters & determine next steps, report on deliverables, etc.
2. Project Steering Committee (PSC)- formal committee meeting quarterly (with assigned budget) for decision making related to the project execution
3. Management advisory committee- to address unresolved matters at UNDP + UNCDF levels

While (1) and (2) are official governance bodies of the project (3) is based on for "senior management" meetings between UNDP & UNCDF to address any unresolved matters.

Governance body	Purpose	Periodicity of meeting	UNDP Participants	UNCDF participants	Others
Technical Working Group *Chair: UNDP*	Day-to-day project management	Fortnightly	*UNDP CO team + PMU staff (i.e. Project Manager and team)*	Investment specialist, LDCIP	*Technical focal points from partner institutions, namely;* NAWEC MECCNAR • MOPE PURA
Project Steering Committee (PSC) *Chair-MECCNAR*	Decision – making related to project execution	Semi-annually (Every 6 months) or as needed	*UNDP Resident Representative/ UNDP CO* UNDP as the NSO will be the entity reporting to the NAMA Facility	Investment specialist, LDCIP UNCDF will act as an Advisor to the Steering Committee.	• MECCNAR • MOPE • NAWEC • MOLGL • NEA • PURA • GCCI • GIEPA • MoFEA

DocuSign Envelope ID: B6D6599B-4296-4F83-B081-83A187902737

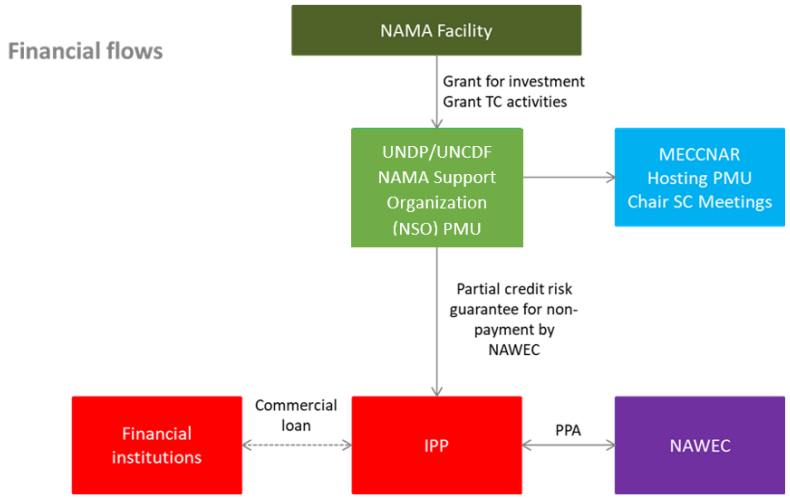
Management Advisory Committee	Addressing any unresolved matters + periodic updates	Semi-annually (Every 6 months), or as needed: (*1 week before PSC*)	*UNDP Resident Representative + UNDP HQ*	Director- LDCIP	No external- only UNDP & UNCDF senior members
UNCDF + UNDP Catch-up meetings	Coordination meeting to resolve technical challenges and provide updates	Fortnightly	*UNDP CO + UNDP HQ*	UNCDF HQ	No external

Cooperation Structure

The NAMA facility funding will flow through both the NSO as well as the financial implementing partner:

- UNDP for technical assistance (TC) activities, and
- UNCDF for the PPA Guarantee (FC).

The cooperation structure for the financial flow is as follows:



DocuSign Envelope ID: B6D6599B-4296-4F83-B081-83A187902737

IX. LEGAL CONTEXT

*[NOTE: Please choose **one** of the following options, as applicable. Delete all other options from the document]*

Option a. Where the country has signed the Standard Basic Assistance Agreement (SBAA)

This project document shall be the instrument referred to as such in Article 1 of the Standard Basic Assistance Agreement between the Government of (country) and UNDP, signed on (date). All references in the SBAA to "Executing Agency" shall be deemed to refer to "Implementing Partner."

This project will be implemented by [name of entity] ("Implementing Partner") in accordance with its financial regulations, rules, practices, and procedures only to the extent that they do not contravene the principles of the Financial Regulations and Rules of UNDP. Where the financial governance of an Implementing Partner does not provide the required guidance to ensure best value for money, fairness, integrity, transparency, and effective international competition, the financial governance of UNDP shall apply.

Option b. Where the country has NOT signed the Standard Basic Assistance Agreement (SBAA)

The project document shall be the instrument envisaged and defined in the Supplemental Provisions to the Project Document, attached hereto and forming an integral part hereof, as "the Project Document".

This project will be implemented by [name of entity] ("Implementing Partner") in accordance with its financial regulations, rules, practices, and procedures only to the extent that they do not contravene the principles of the Financial Regulations and Rules of UNDP. Where the financial governance of an Implementing Partner does not provide the required guidance to ensure best value for money, fairness, integrity, transparency, and effective international competition, the financial governance of UNDP shall apply.

Option c. For Global and Regional Projects

This project forms part of an overall programmatic framework under which several separate associated country level activities will be implemented. When assistance and support services are provided from this Project to the associated country level activities, this document shall be the "Project Document" instrument referred to in: (i) the respective signed SBAAs for the specific countries; or (ii) in the Supplemental Provisions to the Project Document attached to the Project Document in cases where the recipient country has not signed an SBAA with UNDP, attached hereto and forming an integral part hereof. All references in the SBAA to "Executing Agency" shall be deemed to refer to "Implementing Partner."

This project will be implemented by [name of entity] ("Implementing Partner") in accordance with its financial regulations, rules, practices, and procedures only to the extent that they do not contravene the principles of the Financial Regulations and Rules of UNDP. Where the financial governance of an Implementing Partner does not provide the required guidance to ensure best value for money, fairness, integrity, transparency, and effective international competition, the financial governance of UNDP shall apply**.**

X. RISK MANAGEMENT

Option b. UNDP (DIM)

1. UNDP as the Implementing Partner will comply with the policies, procedures, and practices of the United Nations Security Management System (UNSMS.)

DocuSign Envelope ID: B6D6599B-4296-4F83-B081-83A187902737

2. UNDP as the Implementing Partner will undertake all reasonable efforts to ensure that none of the [project funds][1] [UNDP funds received pursuant to the Project Document][2] are used to provide support to individuals or entities associated with terrorism and that the recipients of any amounts provided by UNDP hereunder do not appear on the list maintained by the Security Council Committee established pursuant to resolution 1267 (1999). The list can be accessed via http://www.un.org/sc/committees/1267/aq_sanctions_list.shtml. This provision must be included in all sub-contracts or sub-agreements entered into under this Project Document.

3. Social and environmental sustainability will be enhanced through application of the UNDP Social and Environmental Standards (http://www.undp.org/ses) and related Accountability Mechanism (http://www.undp.org/secu-srm).

4. UNDP as the Implementing Partner will: (a) conduct project and programme-related activities in a manner consistent with the UNDP Social and Environmental Standards, (b) implement any management or mitigation plan prepared for the project or programme to comply with such standards, and (c) engage in a constructive and timely manner to address any concerns and complaints raised through the Accountability Mechanism. UNDP will seek to ensure that communities and other project stakeholders are informed of and have access to the Accountability Mechanism.

5. In the implementation of the activities under this Project Document, UNDP as the Implementing Partner will handle any sexual exploitation and abuse ("SEA") and sexual harassment ("SH") allegations in accordance with its regulations, rules, policies and procedures.

6. All signatories to the Project Document shall cooperate in good faith with any exercise to evaluate any programme or project-related commitments or compliance with the UNDP Social and Environmental Standards. This includes providing access to project sites, relevant personnel, information, and documentation.

7. UNDP as the Implementing Partner will ensure that the following obligations are binding on each responsible party, subcontractor and sub-recipient:

    a. Consistent with the Article III of the SBAA *[or the Supplemental Provisions to the Project Document]*, the responsibility for the safety and security of each responsible party, subcontractor and sub-recipient and its personnel and property, and of UNDP's property in such responsible parties', subcontractor's and sub-recipient's custody, rests with such responsible party, subcontractor and sub-recipient. To this end, each responsible party, subcontractor and sub-recipient shall:
        i. put in place an appropriate security plan and maintain the security plan, taking into account the security situation in the country where the project is being carried;
        ii. assume all risks and liabilities related to such responsible party's, subcontractor's and sub-recipient's security, and the full implementation of the security plan.

    b. UNDP reserves the right to verify whether such a plan is in place, and to suggest modifications to the plan when necessary. Failure to maintain and implement an appropriate security plan as required hereunder shall be deemed a breach of the responsible party's, subcontractor's and sub-recipient's obligations under this Project Document.
    c. In the performance of the activities under this Project, UNDP as the Implementing Partner shall ensure, with respect to the activities of any of its responsible parties, sub-recipients and other entities engaged under the Project, either as contractors or subcontractors, their personnel and any individuals performing services for them, that those entities have in place adequate and proper procedures, processes and policies to prevent and/or address SEA and SH.

    d. Each responsible party, subcontractor and sub-recipient will take appropriate steps to prevent misuse of funds, fraud or corruption, by its officials, consultants, subcontractors and sub-recipients in implementing the project or programme or using the UNDP funds. It will ensure that its financial management, anti-corruption and anti-fraud policies are in place and enforced for all funding received from or through UNDP.

[1] To be used where UNDP is the Implementing Partner

[2] To be used where the UN, a UN fund/programme or a specialized agency is the Implementing Partner

DocuSign Envelope ID: B6D6599B-4296-4F83-B081-83A187902737

e. The requirements of the following documents, then in force at the time of signature of the Project Document, apply to each responsible party, subcontractor and sub-recipient: (a) UNDP Policy on Fraud and other Corrupt Practices and (b) UNDP Office of Audit and Investigations Investigation Guidelines. Each responsible party, subcontractor and sub-recipient agrees to the requirements of the above documents, which are an integral part of this Project Document and are available online at www.undp.org.

f. In the event that an investigation is required, UNDP will conduct investigations relating to any aspect of UNDP programmes and projects. Each responsible party, subcontractor and sub-recipient will provide its full cooperation, including making available personnel, relevant documentation, and granting access to its (and its consultants', subcontractors' and sub-recipients') premises, for such purposes at reasonable times and on reasonable conditions as may be required for the purpose of an investigation. Should there be a limitation in meeting this obligation, UNDP shall consult with it to find a solution.

g. Each responsible party, subcontractor and sub-recipient will promptly inform UNDP as the Implementing Partner in case of any incidence of inappropriate use of funds, or credible allegation of fraud or corruption with due confidentiality.

Where it becomes aware that a UNDP project or activity, in whole or in part, is the focus of investigation for alleged fraud/corruption, each responsible party, subcontractor and sub-recipient will inform the UNDP Resident Representative/Head of Office, who will promptly inform UNDP's Office of Audit and Investigations (OAI). It will provide regular updates to the head of UNDP in the country and OAI of the status of, and actions relating to, such investigation.

h. Choose one of the three following options:

Option 1: UNDP will be entitled to a refund from the responsible party, subcontractor or sub-recipient of any funds provided that have been used inappropriately, including through fraud or corruption, or otherwise paid other than in accordance with the terms and conditions of this Project Document. Such amount may be deducted by UNDP from any payment due to the responsible party, subcontractor or sub-recipient under this or any other agreement. Recovery of such amount by UNDP shall not diminish or curtail any responsible party's, subcontractor's or sub-recipient's obligations under this Project Document.

Option 2: Each responsible party, subcontractor or sub-recipient agrees that, where applicable, donors to UNDP (including the Government) whose funding is the source, in whole or in part, of the funds for the activities which are the subject of the Project Document, may seek recourse to such responsible party, subcontractor or sub-recipient for the recovery of any funds determined by UNDP to have been used inappropriately, including through fraud or corruption, or otherwise paid other than in accordance with the terms and conditions of the Project Document.

Option 3: UNDP will be entitled to a refund from the responsible party, subcontractor or sub-recipient of any funds provided that have been used inappropriately, including through fraud or corruption, or otherwise paid other than in accordance with the terms and conditions of the Project Document. Such amount may be deducted by UNDP from any payment due to the responsible party, subcontractor or sub-recipient under this or any other agreement.

Where such funds have not been refunded to UNDP, the responsible party, subcontractor or sub-recipient agrees that donors to UNDP (including the Government) whose funding is the source, in whole or in part, of the funds for the activities under this Project Document, may seek recourse to such responsible party, subcontractor or sub-recipient for the recovery of any funds determined by UNDP to have been used inappropriately, including through fraud or corruption, or otherwise paid other than in accordance with the terms and conditions of the Project Document.

DocuSign Envelope ID: B6D6599B-4296-4F83-B081-83A187902737

Note: The term "Project Document" as used in this clause shall be deemed to include any relevant subsidiary agreement further to the Project Document, including those with responsible parties, subcontractors and sub-recipients.

i. Each contract issued by the responsible party, subcontractor or sub-recipient in connection with this Project Document shall include a provision representing that no fees, gratuities, rebates, gifts, commissions or other payments, other than those shown in the proposal, have been given, received, or promised in connection with the selection process or in contract execution, and that the recipient of funds from it shall cooperate with any and all investigations and post-payment audits.

j. Should UNDP refer to the relevant national authorities for appropriate legal action any alleged wrongdoing relating to the project or programme, the Government will ensure that the relevant national authorities shall actively investigate the same and take appropriate legal action against all individuals found to have participated in the wrongdoing, recover and return any recovered funds to UNDP.

k. Each responsible party, subcontractor and sub-recipient shall ensure that all of its obligations set forth under this section entitled "Risk Management" are passed on to its subcontractors and sub-recipients and that all the clauses under this section entitled "Risk Management Standard Clauses" are adequately reflected, *mutatis mutandis*, in all its sub-contracts or sub-agreements entered into further to this Project Document.

Option d. UN Agency other than UNDP, and IGO with signed SBEAA with UNDP

1. [Name of UN Agency/IGO] as the Implementing Partner will comply with the policies, procedures and practices of the United Nations Security Management System (UNSMS.)

2. In the implementation of the activities under this Project Document, [Name of UN Agency/IGO] as the Implementing Partner will handle any sexual exploitation and abuse ("SEA") and sexual harassment ("SH") allegations in accordance with its regulations, rules, policies and procedures. Notwithstanding the foregoing, the [Name of UN Agency/IGO], as the Implementing Partner, will notify UNDP of any such allegations and investigations it may conduct further to such allegations.

3. [Name of UN Agency/IGO] as the Implementing Partner will ensure that the following obligations are binding on each responsible party, subcontractor and sub-recipient that is not a UN entity:

    a. Consistent with the Article III of the SBAA *[or the Supplemental Provisions to the Project Document]*, the responsibility for the safety and security of each responsible party, subcontractor and sub-recipient and its personnel and property, and of [Name of UN Agency/IGO]'s property in such responsible party's, subcontractor's and sub-recipient's custody, rests with such responsible party, subcontractor and sub-recipient. To this end, each responsible party, subcontractor and sub-recipient shall:

        i. put in place an appropriate security plan and maintain the security plan, taking into account the security situation in the country where the project is being carried;
        ii. assume all risks and liabilities related to such responsible party's, subcontractor's and sub-recipient's security, and the full implementation of the security plan.

    b. [Name of UN Agency/IGO] reserves the right to verify whether such a plan is in place, and to suggest modifications to the plan when necessary. Failure to maintain and implement an appropriate security plan as required hereunder shall be deemed a breach of the responsible party's, subcontractor's and sub-recipient's obligations under this Project Document.

    c. In the performance of the activities under this Project, [Name of UN Agency/IGO] as the Implementing Partner shall ensure, with respect to the activities of any of its responsible

DocuSign Envelope ID: B6D6599B-4296-4F83-B081-83A187902737

parties, sub-recipients and other entities engaged under the Project, either as contractors or subcontractors, their personnel and any individuals performing services for them, that those entities have in place adequate and proper procedures, processes and policies to prevent and/or handle SEA and SH.

4. [Name of UN Agency/IGO] agrees to undertake all reasonable efforts to ensure that none of the [project funds][1] [UNDP funds received pursuant to the Project Document][2] are used to provide support to individuals or entities associated with terrorism and that the recipients of any amounts provided by UNDP hereunder do not appear on the list maintained by the Security Council Committee established pursuant to resolution 1267 (1999). The list can be accessed via http://www.un.org/sc/committees/1267/aq_sanctions_list.shtml.

5. Social and environmental sustainability will be enhanced through application of the UNDP Social and Environmental Standards (http://www.undp.org/ses) and related Accountability Mechanism (http://www.undp.org/secu-srm).

6. The Implementing Partner shall: (a) conduct project and programme-related activities in a manner consistent with the UNDP Social and Environmental Standards, (b) implement any management or mitigation plan prepared for the project or programme to comply with such standards, and (c) engage in a constructive and timely manner to address any concerns and complaints raised through the Accountability Mechanism. UNDP will seek to ensure that communities and other project stakeholders are informed of and have access to the Accountability Mechanism.

7. All signatories to the Project Document shall cooperate in good faith with any exercise to evaluate any programme or project-related commitments or compliance with the UNDP Social and Environmental Standards. This includes providing access to project sites, relevant personnel, information, and documentation.

8. The Implementing Partner will take appropriate steps to prevent misuse of funds, fraud or corruption, by its officials, consultants, responsible parties, subcontractors and sub-recipients in implementing the project or programme or using the UNDP funds. The Implementing Partner will ensure that its financial management, anti-corruption and anti-fraud policies are in place and enforced for all funding received from or through UNDP.

9. [*This text should be included when the Implementing Partner is a non-UN IGO*: The requirements of the following documents, then in force at the time of signature of the Project Document, apply to the Implementing Partner: (a) UNDP Policy on Fraud and other Corrupt Practices and (b) UNDP Office of Audit and Investigations Investigation Guidelines. The Implementing Partner agrees to the requirements of the above documents, which are an integral part of this Project Document and are available online at www.undp.org.]

10. [*This text should be included when the Implementing Partner is a non-UN IGO*: In the event that an investigation is required, UNDP has the obligation to conduct investigations relating to any aspect of UNDP projects or programmes. The Implementing Partner shall provide its full cooperation, including making available personnel, relevant documentation, and granting access to the Implementing Partner's (and its consultants', responsible parties', subcontractors' and sub-recipients') premises, for such purposes at reasonable times and on reasonable conditions as may be required for the purpose of an investigation. Should there be a limitation in meeting this obligation, UNDP shall consult with the Implementing Partner to find a solution.]

11. The Implementing Partner and UNDP will promptly inform one another in case of any incidence of inappropriate use of funds, or credible allegation of fraud or corruption with due confidentiality.

    Where the Implementing Partner becomes aware that a UNDP project or activity, in whole or in part, is the focus of investigation for alleged fraud/corruption, the Implementing Partner will inform the UNDP Resident Representative/Head of Office, who will promptly inform UNDP's Office of Audit and Investigations (OAI). The Implementing Partner shall provide regular updates to the head of UNDP in the country and OAI of the status of, and actions relating to, such investigation.

[1] To be used where UNDP is the Implementing Partner

[2] To be used where the UN, a UN fund/programme or a specialized agency is the Implementing Partner

DocuSign Envelope ID: B6D6599B-4296-4F83-B081-83A187902737

12. *Choose one of the three following options:*

    Option 1: UNDP shall be entitled to a refund from the Implementing Partner of any funds provided that have been used inappropriately, including through fraud or corruption, or otherwise paid other than in accordance with the terms and conditions of this Project Document. Such amount may be deducted by UNDP from any payment due to the Implementing Partner under this or any other agreement. Recovery of such amount by UNDP shall not diminish or curtail the Implementing Partner's obligations under this Project Document.

    Option 2: The Implementing Partner agrees that, where applicable, donors to UNDP (including the Government) whose funding is the source, in whole or in part, of the funds for the activities which are the subject of the Project Document, may seek recourse to the Implementing Partner for the recovery of any funds determined by UNDP to have been used inappropriately, including through fraud or corruption, or otherwise paid other than in accordance with the terms and conditions of the Project Document.

    Option 3: UNDP shall be entitled to a refund from the Implementing Partner of any funds provided that have been used inappropriately, including through fraud or corruption, or otherwise paid other than in accordance with the terms and conditions of the Project Document. Such amount may be deducted by UNDP from any payment due to the Implementing Partner under this or any other agreement.

    Where such funds have not been refunded to UNDP, the Implementing Partner agrees that donors to UNDP (including the Government) whose funding is the source, in whole or in part, of the funds for the activities under this Project Document, may seek recourse to the Implementing Partner for the recovery of any funds determined by UNDP to have been used inappropriately, including through fraud or corruption, or otherwise paid other than in accordance with the terms and conditions of the Project Document.

    Note: The term "Project Document" as used in this clause shall be deemed to include any relevant subsidiary agreement further to the Project Document, including those with responsible parties, subcontractors and sub-recipients.

13. Each contract issued by the Implementing Partner in connection with this Project Document shall include a provision representing that no fees, gratuities, rebates, gifts, commissions or other payments, other than those shown in the proposal, have been given, received, or promised in connection with the selection process or in contract execution, and that the recipient of funds from the Implementing Partner shall cooperate with any and all investigations and post-payment audits.

14. Should UNDP refer to the relevant national authorities for appropriate legal action any alleged wrongdoing relating to the project, the Government will ensure that the relevant national authorities shall actively investigate the same and take appropriate legal action against all individuals found to have participated in the wrongdoing, recover and return any recovered funds to UNDP.

15. The Implementing Partner shall ensure that all of its obligations set forth under this section entitled "Risk Management Standard Clauses" are passed on to each responsible party, subcontractor and sub-recipient and that all the clauses under this section entitled "Risk Management" are included, *mutatis mutandis*, in all sub-contracts or sub-agreements entered into further to this Project Document.

Special Clauses. In case of government cost-sharing through the project, the following clauses should be included:

1. The schedule of payments and UNDP bank account details.

2. The value of the payment, if made in a currency other than United States dollars, shall be determined by applying the United Nations operational rate of exchange in effect on the date of payment. Should there be a change in the United Nations operational rate of exchange prior to the full utilization by the UNDP of the payment, the value of the balance of funds still held at that time will be adjusted accordingly. If, in such a case, a loss in the value of the balance of funds is recorded, UNDP shall inform the Government with a view to determining whether any further financing could be provided by the Government. Should such further

DocuSign Envelope ID: B6D6599B-4296-4F83-B081-83A187902737

financing not be available, the assistance to be provided to the project may be reduced, suspended or terminated by UNDP.

3. The above schedule of payments takes into account the requirement that the payments shall be made in advance of the implementation of planned activities. It may be amended to be consistent with the progress of project delivery.

4. UNDP shall receive and administer the payment in accordance with the regulations, rules and directives of UNDP.

5. All financial accounts and statements shall be expressed in United States dollars.

6. If unforeseen increases in expenditures or commitments are expected or realized (whether owing to inflationary factors, fluctuation in exchange rates or unforeseen contingencies), UNDP shall submit to the government on a timely basis a supplementary estimate showing the further financing that will be necessary. The Government shall use its best endeavours to obtain the additional funds required.

7. If the payments referred above are not received in accordance with the payment schedule, or if the additional financing required in accordance with paragraph [] above is not forthcoming from the Government or other sources, the assistance to be provided to the project under this Agreement may be reduced, suspended or terminated by UNDP.

8. Any interest income attributable to the contribution shall be credited to UNDP Account and shall be utilized in accordance with established UNDP procedures.

In accordance with the decisions and directives of UNDP's Executive Board:

The contribution shall be charged:

(a) […%] cost recovery for the provision of general management support (GMS) by UNDP headquarters and country offices

(b) Direct cost for implementation support services (ISS) provided by UNDP and/or an executing entity/implementing partner.

9. Ownership of equipment, supplies and other properties financed from the contribution shall vest in UNDP. Matters relating to the transfer of ownership by UNDP shall be determined in accordance with the relevant policies and procedures of UNDP.

10. The contribution shall be subject exclusively to the internal and external auditing procedures provided for in the financial regulations, rules and directives of UNDP."

DocuSign Envelope ID: B6D6599B-4296-4F83-B081-83A187902737

XI. ANNEXES

1. **Project Quality Assurance Report**

2. **Social and Environmental Screening Template** including additional Social and Environmental Assessments or Management Plans as relevant. *(NOTE: The SES Screening is not required for projects in which UNDP is Administrative Agent only and/or projects comprised solely of reports, coordination of events, trainings, workshops, meetings, conferences, preparation of communication materials, strengthening capacities of partners to participate in international negotiations and conferences, partnership coordination and management of networks, or global/regional projects with no country level activities). NAMA SESP template_ENGLISH.docx*

3. **Risk Analysis**. Risk Log (please refer to page 15)

4. **Capacity Assessment:** Results of capacity assessments of Implementing Partner (including HACT Micro Assessment)

5. **Project Board Terms of Reference and TORs of key management positions**